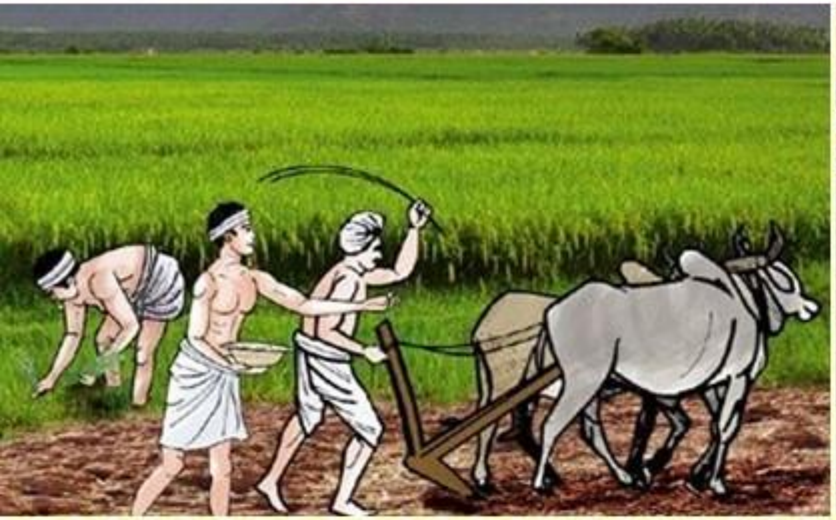
INDIAN ECONOMY

LEVEL II



LECTURES

- TENTH FIVE-YEAR PLAN
- ELEVENTH FIVE-YEAR PLAN
- TWELFTH FIVE-YEAR PLAN

MODULE - 10

Learning Space

FIVE YEAR PLANS

TENTH FIVE-YEAR PLAN (2002-2007)

GDP GROWTH

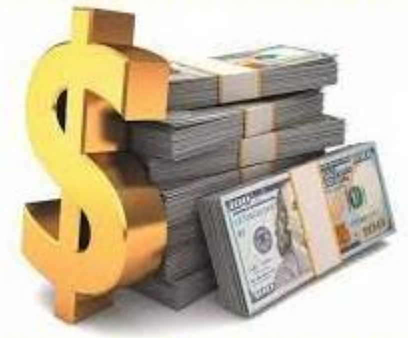
- Target … 8%
- Actual … 7.6%

MAIN FOCUS AREAS

- Major objective is growth with emphasis on Human Development.
- The ideology behind this plan is achieving the higher growth rates should be translated in to improving the quality of life of the people.
- Governance was considered a factor of development.
- Agriculture was declared as the Prime Moving Force (PMF) of the economy.
- Increased emphasis on the social sector i.e. education and health.

OUTCOME – POSITIVES/NEGATIVES

- Foreign Exchange Reserves went up from around $ 50 billion to more than $ 200 billion.
- As per the evaluation by the Planning Commission, though the rate of growth was impressive, it was lopsided and it didn't benefit all people alike.
- Regional imbalances, both across states and even within states, were also noticed.



ECONOMIC DEVELOPMENTS … 2002 - 2007

2002
- ----

2003
- ----

2004
- Providing Urban Amenities In Rural Areas (PURA)

2005
- Bharat Nirman
- Jawaharlal Nehru National Urban Renewal Mission (JNNURM)
- National Rural Health Mission (NRHM)

2006
- Rural Employment Guarantee Act (Subsequently, it became the MGNREGA)

2007
- ----

Learning Space

FIVE YEAR PLANS

ELEVENTH FIVE-YEAR PLAN (2007-2012)

GDP GROWTH

- Target ... 9%
- Actual ... 8%

KEY FOCUS AREAS

- Major objective was faster and more inclusive growth.
- It targeted to resolve the regional imbalances, still prevailing in the country.
- Major thrust on social sector, including Agriculture and Rural Development.
- More investment (9% of GDP in infrastructure), reducing poverty by 10%, creating 70 million new work opportunities.

OUTCOME – SUCCESSES/FAILURES

- Achieved growth rate of 8.0% for the first time.
- The shortfall in achievement of certain areas can be due to internal and external factors like global slow down, fluctuations in international prices, strong inflationary pressures, droughts etc.
- The domestic savings and investments averaged around 34% and 36% of GDP, which is quiet substantial.

India emerged as one of the fastest growing economy by the end of Tenth Plan and this continued in the Eleventh Plan also!

GDP GROWTH

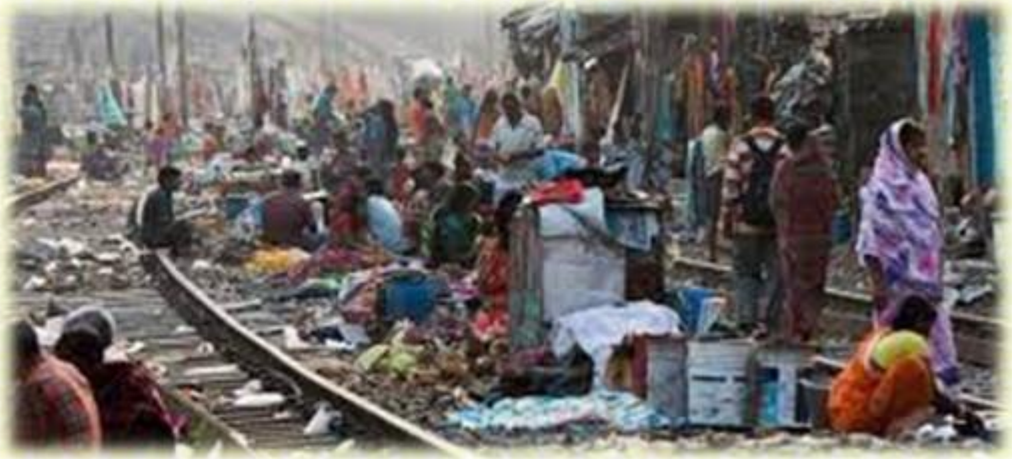
- Target ... 9%
- Actual ... 8%

FIVE YEAR PLANS

SUBSTANTIAL IMPROVEMENTS SINCE EARLY 2000s

POPULATION BELOW POVERTY LINE

The percentage of population below the poverty line declined at the rate of 1.5% points per year, in the period 2004-05 to 2009-10, twice the rate at which it declined in the previous period 1993-94 to 2004-05.



GROWTH OF REAL CONSUMPTION

The rate of growth of real consumption per capita in rural areas in the period 2004-05 to 2011-12 was 3.4% per year, which was four times the rate in the previous period 1993-94 to 2004-05.

ECONOMIC DEVELOPMENTS ... 2007 - 2012

2007
- Rashtriya Swasthya Bima Yojana
- Aam Admi Bima Yojana
- National Food Security Mission

2008
- Prime Minister's Employment Generation Programme (PMEGP)

2009
- Rashtriya Madhyamika Shiksha Abhiyan (RMSA)

2010
- ---

2011
- ---

2012
- ---

FIVE YEAR PLANS

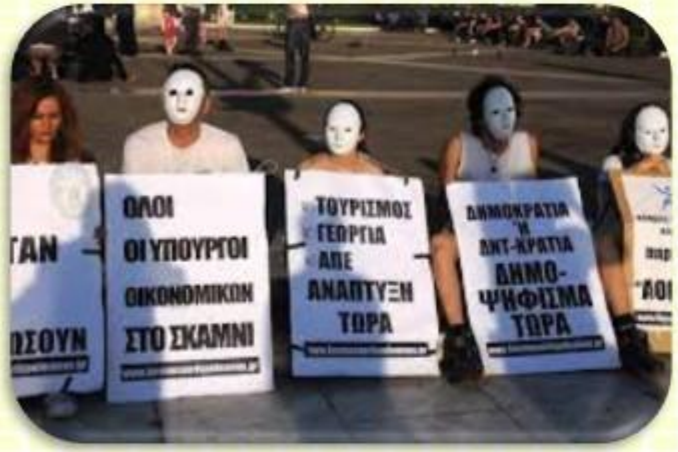
TWELFTH FIVE-YEAR PLAN(2012-2017)

KEY FOCUS AREAS

- Major objective was faster sustainable and more inclusive growth.
- Global economy was going through a second financial crisis precipitated by the sovereign debt problems of the Eurozone.
- The objectives are
  - ✓ to reduce poverty.
  - ✓ To improve regional equality across the states and within states.
  - ✓ To improve living conditions for SCs, STs, OBCs and Minorities.
  - ✓ To generate attractive employment opportunities for Indian youth to eliminate gender gaps.

OUTCOME – SUCCESSES/FAILURES

- There was conceptual change in viewing the five-year plans, when the new government took over in 2014.
- NITI Aayog was emerged from 1st January, 2015



सत्यमेव जयते

NITI Aayog

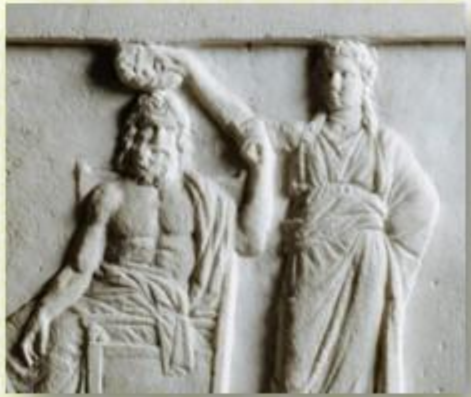
FIVE YEAR PLANS

PLANNING COMMISSION …
REPORT OF THE INDEPENDENT EVALUATION OFFICE

- It submitted its report to the Prime Minister's Office in June 2014.
- It stated that the Planning Commission was created in response to the unique challenges faced by a nascent democracy and a fledgling economy.
- It followed a top-down approach that envisaged a dynamic central government building up the economic and the social order of weak States.
- It stated that the Planning Commission and its current form and function is a hindrance and not a help to India's development.
- It also stated that it is not easy to reform such a large ossified body and it would be better to replace it with a new body, that is needed to assist States in ideas, to provide long-term thinking, and to help cross-cutting reforms.

MAJOR RECOMMENDATIONS OF THE INDEPENDENT EVALUATION OFFICE TOWARDS SCRAPPING THE PLANNING COMMISSION

- It recommended for scrapping the Planning Commission and replacing it with the Reforms and Solutions Commission.
- It should be staffed with experts with domain knowledge.
- It should have full time representation of major trade and industry organisations, civil society representatives, academics etc.
- The current functions of the PC can be taken over by other bodies, which are better in a position to perform those functions.

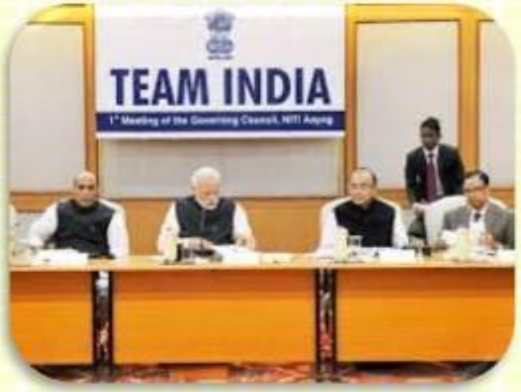


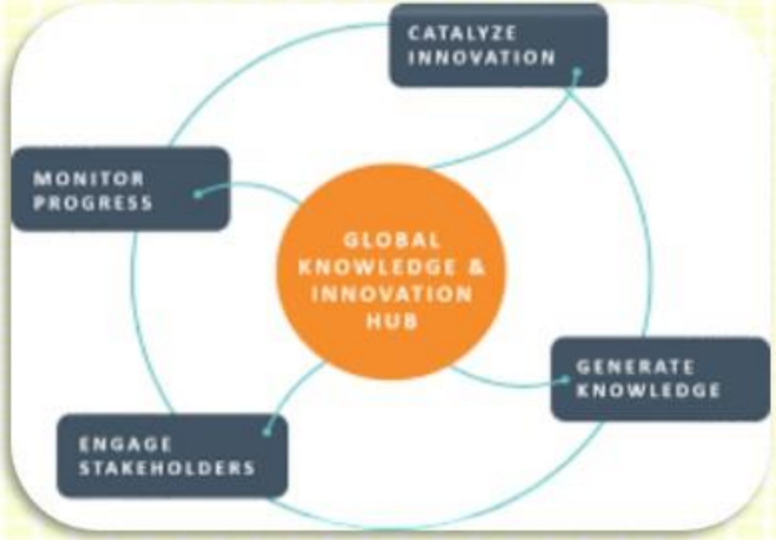
EMERGENCE OF NITI AAYOG

- The new government in 2014 decided to set-up NITI Aayog (National Institution for Transforming India) in place of the erstwhile Planning Commission.
- The idea was to act as a means to better serve the needs and aspirations of the people of India.
- The new institution is supposed to be a catalyst to the development process, nurturing an overall enabling environment through a holistic approach.
- At the core of NITI Aayog's creation are two hubs, Team India Hub and Knowledge and Innovation Hub.

सत्यमेव जयते

NITI Aayog





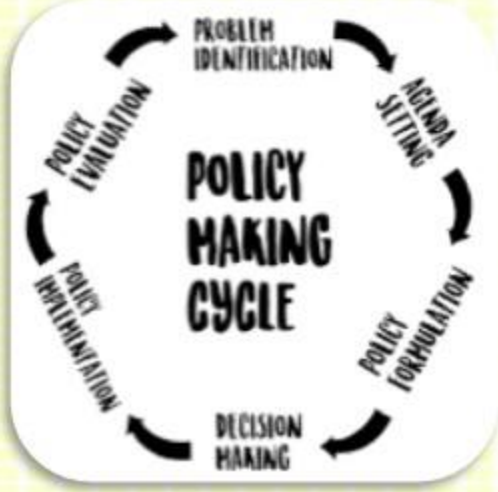
MANDATE OF THE NITI AAYOG

THINK TANK FOR THE POLICY FORMULATION

- It acts as a think tank for the policy formulation of the government. It finds best practices from other countries, partner with other national and international bodies to facilitate their best practices adoption in India.
- It involves state governments and Panchayat Raj Institutions towards cooperative federalism.
- It makes policies to reap demographic dividend and social capital.
- It has monitoring framework with frequent feedbacks. It does course correction mid-way, if needed.

- It uses social media and ICT tools to ensure transparency, accountability and good governance.
- It takes the expert help in framing the policies.

It is in tune with the new paradigm that the government should act as enabler rather than provider!



WE EXPRESS OUR SINCERE THANKS FOR VIEWING THIS VIDEO

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